Following are the journal entries to be passed to record the revaluation of assets and liabilities:

Date	Particulars	L.F.	Debit ₹	Credit ₹
	1. For increase in the value of asset			
	Concerned asset A/c Dr.		xxx	
	To Revaluation A/c			xxx
	2. For decrease in the value of asset			
	Revaluation A/c Dr.		xxx	
	To Concerned asset A/c			xxx
	3. For increase in the amount of liabilities			
	Revaluation A/c Dr.		xxx	
	To Concerned liability A/c			xxx
	4. For decrease in the amount of liability			
	Concerned liability A/c Dr.		xxx	
	To Revaluation A/c			xxx
	5. For recording an unrecorded asset			
	Concerned asset A/c Dr.		xxx	
	To Revaluation A/c			xxx
	6. For recording an unrecorded liability			
	Revaluation A/c Dr.		xxx	
	To Concerned liability A/c			xxx
	7. For transferring the balance in revaluation A/c			
	(a) If there is profit on revaluation			
	Revaluation A/c Dr.		xxx	
	To Old partners' capital A/c (individually in old ratio)			xxx
	(b) If there is loss on revaluation			
	Old partners' capital A/c (individually in old ratio) Dr.		xxx	
	To Revaluation A/c			xxx

Format of Revaluation Account:

Dr. **Revaluation Account** **Cr.**

Particulars	₹	Particulars	₹
To Concerned asset A/c (net decrease)	xxx	By Concerned asset A/c (net increase)	xxx
To Concerned liability A/c (net increase)	xxx	By Concerned liability A/c (net decrease)	xxx
To Old partners' capital A/c (profit on revaluation shared in old ratio)*	xxx	By Old partners' capital A/c (loss on revaluation shared in old ratio)*	xxx
	xxx		xxx

*There will be either profit or loss on revaluation.

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